

END OF YEAR 12 ASSESSMENT

# **Edexcel A Level Economics (A)**

## **Year 12 Assessment**

### **PAPER 2: THE NATIONAL ECONOMY**

(Edition 1)

## **MARK SCHEME**

# Edexcel A Level Economics (A)

## Year 12 Assessment

### Paper 2 – The National Economy

### Mark Scheme

1a Calculate the Gross Domestic Product (GDP) of Country Z in 2017.

(1 mark)

#### Application (1)

- \$5,600 million or \$5.6bn

1b Define the term 'Aggregate Demand' and explain why the AD curve slopes downwards from left to right.

(4 marks)

#### Knowledge (4)

- Aggregate demand: is the total demand for all goods and services within an economy (in a given time period) (1)
- Aggregate demand sloping downward can be explained by (1) **Real Income effect**: at a lower price level, the spending power of consumers' income is greater and therefore they are able to buy more goods and services. (2) **International effect**: At lower price levels, domestic prices become relatively cheaper (more competitive) and so the number of exports increase. (3) **The interest rate effect**: at high price levels, consumers / firms do not make large deposits at the bank and so there are few 'loanable funds', which causes interest rates to rise which in turn causes investment and consumption to fall.

2a Using these figures, calculate the MPC for the local area. You should give your answer to 2 decimal places.

(2 marks)

#### Application (2)

- 0.15

Correct answer is 0.15

Multiplier value = 1.17647

$1 / (1 - \text{MPC}) = 1.17647$

Therefore  $(1 - \text{MPC}) = 0.85$

Therefore  $\text{MPC} = 0.15$

**2b** Define the term 'marginal propensity to save' and explain how an increase in the marginal propensity to save (MPS) will affect the multiplier.

(3 marks)

**Knowledge (1)**

- MPS is the proportion of additional income that is saved

**Analysis (2)**

- If MPS increases, this means that less money will flow around the circular flow of income after each round of spending [1]. Therefore, leakages have increased and, therefore, the multiplier will be lower [1].

**3a** Complete the table by filling in the two empty boxes with the correct values.

(2 marks)

**Application (2)**

- First box: 105
- Second box: £2.53

**3b** Using just the data for Good X

- calculate the inflation rate between 2014 and 2017
- explain one cost-push factor that may have caused the price changes.

(3 marks)

**Application (1)**

- 27.78% (answer to part (i))

**Application (1) and Analysis (1)**

- An increase in the price of a commodity/raw material that is used in the production of good X.
- Exchange rate depreciation and good X is imported.
- Wages for workers involved in the production of good X increases.

**4a** The figures below relate a fictional country: Rosaria. Using the data given, calculate the population size for the county.

(1 mark)

**Application (1)**

- 26m

**4b** Explain one possible reason for the difference between the GDP figure and the GNI figure.

(2 marks)

**Knowledge (2)**

- Lots of MNCs are based in Rosaria. They repatriate profits home.
- Lots of immigrant workers in Rosaria. They repatriate income home.
- Lots of inward FDI into Rosaria.
- Very little outward FDI conducted by citizens of Rosaria.

**4c** Explain one possible reason for the difference between the GDP/capita figure and the GDP/capita at PPP figure.

(2 marks)

**Knowledge (1) Analysis (1)**

- The cost of living in Rosaria is very high (compared to the USA).

**5a** Calculate how much he will repay in total.

(1 mark)

**Application (1)**

- £3787.43

**5b** Explain how the Bank of England can increase economic growth by decreasing the Bank Rate.

(4 marks)

**Knowledge (4)**

- When the Bank of England reduces Bank Rate, commercial banks will also end up reducing their lending rates because of competitive pressure in the financial market (Bank Rate is effectively a cost of production for commercial banks)
- As a result, consumers will be less incentivised to save and more incentivised to spend.
- Business, too, will be less incentivised to save and more incentivised to spend (i.e. invest)
- Assets prices are likely to rise as people seek alternative forms of investment (instead of saving). Demand for assets rises and this puts upward pressure on prices. This creates a wealth effect and a further stimulus for spending.
- Exchange rates will fall, because less hot money is attracted to the UK, reducing demand for the currency. This makes exports relatively cheaper and imports relatively more expensive.
- As a result of all of the above, AD will increase causing economic growth.

**6a** Using a Keynesian AD/AS model, illustrate and explain the difference between actual and potential growth.

(5 marks)

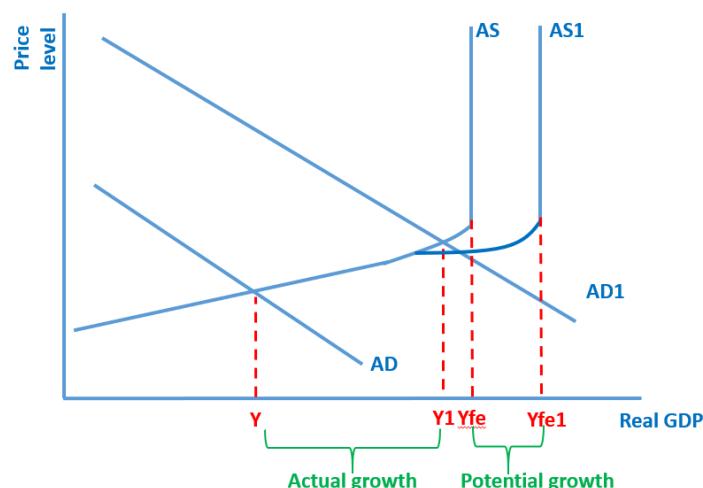
**Knowledge 1, Application 2, Analysis 1**

**Indicative KAA content**

- AD/AS diagram drawn correctly showing actual growth and/or potential growth

- Potential growth refers to an increase in the maximum level of output possible within an economy when all resources are fully employed.
- Actual growth refers to an increase in the actual level of output at the current moment in time. The equilibrium between AD and (SR)AS.

Likely diagram:



**6b** Using a diagram, examine the impact of a fall in oil prices on the aggregate supply (AS) curve.

**(8 marks)**

#### Knowledge and Analysis (4)

- A fall in oil prices affects the costs of production in the economy. Therefore, the neo-classical SRAS shifts rightwards/downwards to reflect the fact that the price level will fall. Or, from a Keynesian perspective, the Keynesian AS curve shifts downwards but with no change in  $Y_{fe}$
- A shift in SRAS causes an extension along the AD curve and creates economic growth.

#### Application (2)

- AD/AS diagram drawn correctly to support the arguments made in the answer. However, the candidates' answer must be correct to gain the application marks.

#### Evaluation (2)

- A fall in oil prices does not affect the quantity of resources in the economy, nor the productivity of resources in the economy. Therefore, the LRAS does not shift right.
- A fall in oil prices (denominated in dollars) may have no impact if the exchange rate alters to counteract the change
- A fall in oil prices may be offset by a change in other costs of production
- A movement along the AS curve would imply that AD is moving. Oil prices, in and of themselves, do not affect AD. They are not a component of AD. That said, if a candidate makes a logical argument that AD does shift because C or I increase, (explaining it perhaps through the idea of business/consumer confidence) then credit should be given. Credit should not be given if the candidate argues that AD increases because prices have fallen – oil prices have caused an extension along AD (caused by as shift in AS) not a shift in AD and an extension along AS.

**6C** With reference to the data, assess the effectiveness of **two** economic reforms that Narendra Modi has used to improve levels of private investment in India.

**(10 marks)**

**Knowledge 2 Application 2, Analysis 2, Evaluation 4**

#### Indicative Content

- He has pushed through a simple nationwide sales tax (GST) in order to replace a confusing array of local and national taxes. Overly complicated bureaucracy and red-tape can put off investors. This is an attempt to cut through/minimise that bureaucracy, simplify the system and, therefore, encourage investors.
- In addition, he has masterminded the adoption of a new Bankruptcy Law which greatly simplifies the legal process for banks to recover debts owed by insolvent companies. Investors frequently look to banks for the source of funding either at the outset of a business or in order to expand. If banks were worried about recovering their money when business when bust, however, they would be unwilling to lend and businesses may fail to get started. Proposing a law that makes it easier for banks to recoup their money means that they are more likely to lend and therefore investors are more likely to secure funding for their ideas.
- Modi has brought stability and a platform for business. Investors are unwilling to invest in areas that are unstable. Investment costs money and no-one wants to put their money into a country where things are unstable. Political unrest can lead to war, it can lead to asset seizure, devaluation of the exchange rate and many other undesirable consequences for investors. Therefore, stability will incentivise investors more.

#### Indicative Evaluation content

- There is still concern amongst some economists that Modi's economic reforms have not gone far enough. The bureaucracy, therefore, has perhaps been reduced but it is still very present and making investment unattractive. Examples include: the country is still weighed down by over-complicated labour laws and property purchases are weighed down by bureaucracy whilst private lending (from banks) to industry is falling for the first time in 20 years.
- And, whilst his banking sector reforms were helpful, previous bad debts are weighing down on India's banking system, hindering the flow of loans to the private sector. So, it is still relatively difficult for investors to get access to private loans.
- Investment may be growing despite Modi. India has favourable demographic factors. Investors are encouraged by the idea of more consumers/workers. A similar point could be made about oil prices and falling costs of production
- Evaluation not given in the text would also suffice. Inflation might be high and, therefore, may hinder investment OR interest rates, may be too high. Must be developed however.

**6d** Discuss whether demographic changes or the level of education and skills provision in India will be the most significant factor in influencing India's potential growth rate.

**(12 marks)**

**Knowledge 3, Application 3, Analysis 3, Evaluation 6**

### KAA indicative content

- **Demographic changes:** LRAS indicates the level of output that can be achieved by an economy when all resources are fully employed. An increase in LRAS (right shift) represents potential growth.
- The demographic structure of India's population is favourable. Over a quarter of the people joining the world's workforce between now and 2025 will be Indian<sup>1</sup>. This means that there is a huge opportunity for India's output to increase and to eventually catch up with the likes of China and the USA as one of the largest economies in the world. More workers means a greater productive potential.
- Labour is a resource and if the quantity of labour increases then the maximum level of output increase and LRAS shift right. The numbers given in the text are very large and this implies that the shift in LRAS will be large too. India may well be the largest economy in the world by 2040.
- **Education and skills:** When people are trained in new skills, their productivity as a worker increases. This is sometimes known as human capital. If all workers are more skilled this will shift LRAS to the right because even with the same number of workers, more output will be able to be produced.
- Education and skills provision allows ALL workers to be more productive. Without any provision, it is likely that the productivity level in an economy might stagnate.
- Education and skills provision reduces structural unemployment in an economy. This shifts the natural rate of unemployment.

### Evaluation indicative content

- The population figures do not include emigration figures. Indian workers are known to leave India in search of higher wages. The population growth will not all stay in India.
- Figures for life expectancy, health (malnutrition) etc ... are not given. It should not necessarily be assumed that all of the new workers will work exactly the same length of time in their careers.
- Population growth is no indication of employment rates (or participation rates). Not everyone will be willing and able to work.
- Whilst education and skills provision is desirable, the increase in population growth is so massive that it is a marginal factor in comparison.
- To some extent, maybe neither factor is the most important. It is perhaps the case that technological advance is more important in today's world. In such a case, education and skill provision would be a more important factor since it allows workers to get more use out of technology and means technological innovation is more likely in an economy.

**6e** Discuss the extent to which high levels of economic growth in India will always be beneficial for consumers, firms and the Government.

**(15 marks)**

### Knowledge 3, Application 3, Analysis 3, Evaluation 6

### KAA indicative content

- Growth should:
  - Increase income for consumers, giving them much more purchasing power in terms of satisfying basic needs and wants.

- An increase in demand for goods/services implies that firms will see more sales and therefore an increase in their own revenues and profits.
- Consumers will have higher living standards in the future as they can afford more goods/services and better quality goods/services.
- Governments should see an increase in tax revenue as more people are working and therefore paying income tax. Consumers are spending more money and therefore revenue from indirect taxes should increase and, if firms are making money, they will pay in corporation tax. Candidates could also consider 'fiscal drag' i.e. as people earn more they move into higher tax brackets.
- Government will have to spend less. There will be fewer benefits paid out, as people will now have greater income), the Government can cut spending on merit/public good provision as people – to some extent – can afford private provision.
- If growth is persistent, foreign investment may well increase (incentivised by the chance of profit) and this may increase the chance for employment, the chance for economies of scale and business growth, and the chance to make greater tax revenue.

#### Evaluation indicative content

- The rewards of growth are not always evenly distributed. Growth may result in the widening of the inequality gap.
- Consumers may choose to spend their increased income on imports (therefore domestic firms don't see as much change in their own revenues/profits).
- If capacity does not increase to meet demand then growth can lead to inflation. This may push consumers into poverty, which would also increase government spending on benefits.
- Growth can often lead to negative externalities in production (e.g. air pollution) which can harm the living standards of consumers.
- Growth can lead to the over-consumption of certain resources, which hinders future living standards.

**7** Evaluate the view that policies aimed at increasing investment are always better than those aimed at increasing consumption

**(25 marks)**

**Knowledge 4, Application 4, Analysis 8, Evaluation 9**

#### Indicative KAA content:

- Increasing investment
  - Will shift both AD and AS.
  - This means that the economy should experience (actual and potential) economic growth (and job creation) without inflationary pressure. Therefore, exports remain competitive too – and they may even improve if investment lowers the costs of production or improves the quality of goods.
  - If the economy is over-heating, investment will create deflationary pressure on prices.

- In addition, consumption without investment is undesirable because it will only lead to (demand-pull) inflation. This is clearly evident on a classical diagram, where the economy is 'stuck' at  $Y_{fe}$ . In a Keynesian diagram, this is evident at the vertical point of the Keynesian AS curve.
- Multiplier effect – increased investment will lead to increased consumption anyway as workers get paid more and this leads to further rounds of spending in the circular flow.
- Policies aimed at increasing consumption can lead to people taking on lots of credit and getting themselves into debt issues.
- Rising consumption can also lead to rising negative externalities e.g. increased use of plastics, rising litter etc

### Indicative Evaluation content

- On the other hand, investment without consumption is undesirable because it:
  - Can create a large negative output gap.
  - May even create deflation – which could lead to its own economic problems.
  - The build-up of private debt which, without the extra revenue from consumption, can lead to a greater risk of bankruptcy for firms. And, en masse, may even cause larger problems for the economy such as a financial crisis.
  - Creation of ghost-towns and/ or unused capital goods.
- Investment is only a small component of AD – therefore it will not have much of an effect on shifting AD compared to, say, consumption.
- If it is public investment then this could result in the build-up of large government debts.
- In addition, consumption is desirable if the economy already has a large negative output gap. Rather than 'wasting' money on further investment, it is better to increase demand to satisfy the excess supply.
- Accelerator effect – increased investment will occur anyway when there is increased growth in the economy (e.g. from consumption). Entrepreneurs are following the profit motive.

**8** Evaluate the extent to which demand-side policies are more effective in reducing unemployment in an economy than supply-side policies.

**(25 marks)**

**Knowledge 4, Application 4, Analysis 8, Evaluation 9**

### Indicative KAA content:

- Demand-side policies will shift AD to the right. This increases the demand for goods/services. As a result, the demand for labour increases. As a result, unemployment falls because more people are being hired by businesses. Candidates should consider two demand-side policies (e.g. lower interest rates, QE, support for exports, more tax relief for low-income workers etc)

- Unemployment occurs where people, who are willing and able to work, cannot find a job. Clearly, if more people are being hired by businesses (due to an increase in the demand for output) then unemployment is said to fall.
- Supply-side policies shift LRAS to the right.
- Supply-side policies are very effective at decreasing unemployment when specific policies are used to target specific types of unemployment. For example, education and training programs are effective at solving the problem of occupational immobility. It also helps to combat technological unemployment because workers are more productive than capital goods. Building infrastructure is an effective policy to solve geographical immobility. The building of job centres, better information channels and literacy rates might be effective ways of solving frictional unemployment.

#### **Indicative Evaluation content**

- Demand-side policies may not be effective for a number of reasons. For example, tax cuts may not always lead to increased consumption (if confidence is low). Or, interest rate cuts may not lead to increased spending (if the cut itself is only very small).
- There are many factors that affect AD and using expansionary fiscal and/or monetary policy may be fairly ineffective if some other factor is pushing AD in the opposite direction.
- Demand-side policies only really combat the problem of cyclical (demand-deficient) unemployment. However, there are other forms of unemployment such as structural/frictional etc ... Increasing AD will not help to decrease these different types.
- However, supply-side policies will come with their own drawbacks. Education and training, for example, takes time (time lag) and may not provide people with the skills they need for the job vacancies available. It also costs a lot of money (which can push the government into debt) and businesses may choose to employ capital goods instead of labour anyway.

More Economics revision and support at:  
**[www.tutor2u.net/economics](http://www.tutor2u.net/economics)**



**@tutor2uEcon**